

HOW TO COME OUT A WINNER

By **DAARA PATEL,** *Secretary General, Indian Drug Manufacturers Association*

The US has not hiked tariffs yet. The pharma industry should lie low for now. Who else can give the US such competitively priced goods in large quantities and of high quality?

Even if tariffs go up to 10 per cent, the industry should be able to absorb it, or pass it on to US consumers. They won't mind a small bump, since it all works on insurance money

But if tariffs go beyond 15 per cent, India will have to look at newer markets in East Africa and West Asia. These markets are not high-value or big in volumes, but we have to explore the option

THE IMPACT

The pharma industry is in a wait and watch mode. It is hoping that, being a cheap and efficacious supplier of drugs, it will be spared. The cost of manufacturing certain drugs in the US would be at least six times compared to that of manufacturing the same product in India, say industry sources. However, even if Trump decides to levy tariffs, the industry is hoping it will not be more than 10 per cent (same as what India levies on US imports), which it can either absorb or pass on to US consumers. But anything higher could be a big negative for the industry. ■

RENEWABLE ENERGY

The Light is Still Green

Renewable energy is not on top of the agenda for the Trump administration. The 2022 US Inflation Reduction Act (IRA), which aimed to bolster domestic green technology, had given a massive fillip to the export of Indian photovoltaic cells in recent years, but had the potential to hurt future orders too. Washington's new focus has been on putting pressure on India to ensure the purchase of its oil and natural gas.

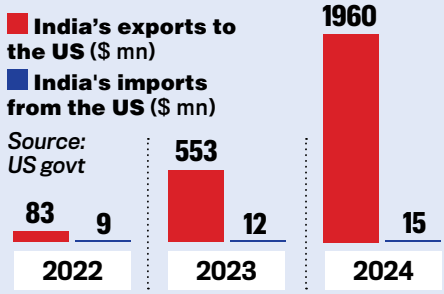
THE IMPACT

The US accounts for 97 per cent of Indian exports of solar equipment. Among President Trump's first executive orders had been one titled "Unleashing American Energy", which directs federal agencies to "pause the disbursement of funds" through the IRA and the Infrastructure Investment and Jobs Act. Despite this, there is about $50 billion in the system, which ensures a continuity in the demand for renewable energy goods from India in the short term. Indian firms are also trying to acquire latest US technology in the sector. Despite the threat of a high 26 per cent tariff, Indian firms like Adani, Renew, Vikram Solar, Tata Power etc. can take comfort from the fact that competitors from China, Vietnam, Malaysia and Thailand face high tariffs too. This ensures cost competitiveness. Lastly, for the last four years, India itself has levied tariffs to groom domestic manufacturers and protect them from a glut of Chinese goods. ■

SIZE OF TRADE

India's exports to the US ($ mn)
India's imports from the US ($ mn)

Source: US govt



TARIFF WAR

Earlier
0-14%
up to 40%

Now
26%*
Unchanged

US India
(Average tariff)
**Paused for 90 days*



HOW TO COME OUT A WINNER

By **JAGJEET SAREEN,** *Partner, Global Climate, Dalberg Advisors*

Accelerate the national mission for manufacturing with focus on cleantech manufacturing. It has to be executed with a focused approach on skills and ease of doing business

A strategy to push cleantech manufacturing in trade deals with the EU and other countries. In case India concludes a trade deal with the US, it must build more capacity, along with accessing technologies developed with IRA funds

Tit for tat tariffs by US and China mean that in renewable energy, it's time for India to up the ante. With the India Middle East Economic Corridor and regional body BIMSTEC in place, India must build new supply chains and deliver to the world